

DISINVESTMENT RECEIPTS. In a break from the past, this term went missing in the Interim Budget 2024-25. It was replaced by a category called “miscellaneous capital receipts” with a target of ₹50,000 crore for FY25. A closer reading of the fine print of the Budget documents reveals that this includes “receipts on account of management of equity investments and public assets through various mechanisms”.

This fresh categorisation is seen to reflect the government’s strategy of a measured approach to stake sales and dividends from central public sector enterprises (CPSEs). This approach ensures that CPSEs are not just seen as a means to raise revenue, but the government also takes measures to enhance and improve their productivity and management. The stance is likely to continue in the Union Budget.

Despite concerns about the impact of coalition politics and regional allies on strategic stake sales, it is business as usual for the government. According to senior government sources, the current policy on disinvestment and strategic sales of CPSEs will continue, at least for now. The Union Budget 2024-25, too, is likely to maintain the ₹50,000-crore disinvestment target. Asset monetisation, which has seen reasonable success in recent years, too, will continue.

Together, these will ensure that the central government continues to have sufficient fiscal space to undertake expenditures while maintaining fiscal discipline.

While there could be some demands in the future from allies, ongoing strategic stake sales—including those in IDBI Bank and Shipping Corporation of India—will continue, say sources. Work on stake sales in other CPSEs such as BEML may be started later in the year. But strategic sales of CPSEs such as Container Corporation of India and Bharat Petroleum Corporation Ltd (BPCL) are off the table for now, they add. In fact, Petroleum and Natural Gas Minister Hardeep Singh Puri had said in June that BPCL was not for sale.

These stake sales will be complemented by a steady source of revenue from CPSE dividends, as has been the trend in recent years, the sources indicate. The Interim Budget had pegged dividends from CPSEs at ₹48,000

crore for FY25, a tad lower than the Revised Estimates of ₹50,000 crore for FY24. This target could be slightly revised upwards given that the actuals for FY24 were higher at ₹63,749 crore, the sources add.

DIVIDENDS AND MORE

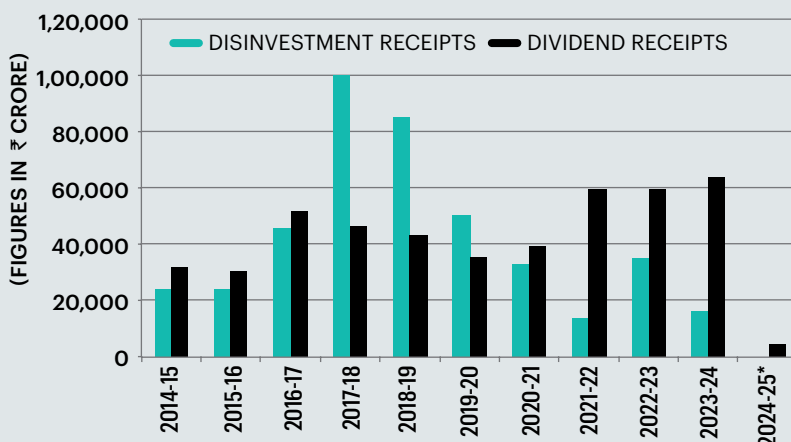
Tuhin Kanta Pandey—Secretary in the Department of Investment and Public Asset Management—had said in a post-Interim Budget interaction that dividends have been a steady source of income. “We continue to get the dividends as long as the CPSEs perform well and earn profits,” he had said. In FY25, the Centre has so far received ₹4,917 crore as dividend from CPSEs.

Taken together, receipts from disinvestment and CPSE dividends have fetched close to ₹9 lakh crore since FY15, with some big-ticket transactions, such as the listing of Life Insurance Corporation of India and the strategic sale of Air India.

However, progress has often

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- ▶ Divestment proceeds and dividends have been a good source of revenue
- ▶ Together they have raised close to ₹9 lakh crore in the last 10 years



*DATA AS OF JULY 4, 2024 SOURCE DIPAM